

An unfair match

There are several ways that a market may fail to allocate goods and services as it is supposed to. Market failures are inevitable in free markets. Even the economists who argue that markets should be free to do their job without government interference and regulation recognize that, in practice, this isn't always possible.

One problem is that the two sides of a transaction, the buyer and the seller, may not always be evenly matched. The seller may have information about the goods that the buyer doesn't know about. Somebody who's selling a secondhand car, for example, may know that it will soon need expensive repairs, but is unlikely to say in case the buyer decides not to go ahead, or offers less money. Sometimes a buyer has the upper hand. Someone buying a run-down farm may get it for less than its worth because the owner doesn't know that a survey shows it's sitting on a huge oil field. This "asymmetrical information," or unfairness, exists in all sorts of markets, and it would be odd to think that people wouldn't take advantage of it. To make the market fairer, governments often impose regulations about the disclosure of information, and laws to prevent "insider trading," using information that isn't available to the general public.

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REPRESENTS THE GREATEST AND
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FAILURE EVER SEEN.**

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